"What we are witnessing is not a standard inflation cycle, but a structural dismantling of unit economics driven by the global semiconductor realignment towards AI," says Brar. MediaTek and Qualcomm, the world's two largest mobile chipset developers, have both signalled a sharper focus on the data-centre business. MediaTek has also notified clients of price increases driven by rising manufacturing and materials costs. The impact is spreading, even if memory remains the primary constraint.

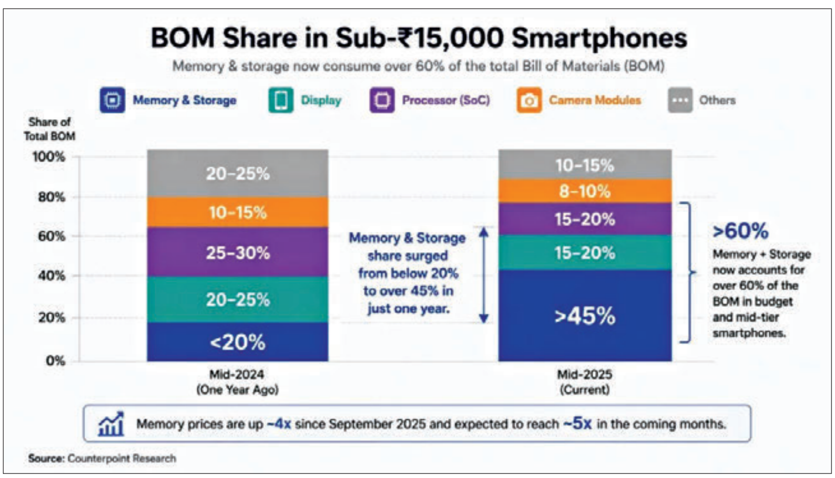
Smartphone makers are competing for component allocation against companies like Nvidia and losing. India's smartphone market has entered its sharpest sustained contraction in over a decade. After closing 2025 at a flat growth with 152 million units shipped, a marginal 0.5% year-on-year growth, according to the International Data Corporation (IDC), shipments fell 4.1% year-on-year in Q1 2026. Data published this week by Counterpoint Research shows the decline deepening to 10% year-on-year in Q2 2026, the worst performance for a June quarter in six years. Counterpoint, IDC and CyberMedia Research (CMR) now project a full-year 2026 forecasts from a 10% to 13% contraction, which would take annual shipments to their lowest since 2013.

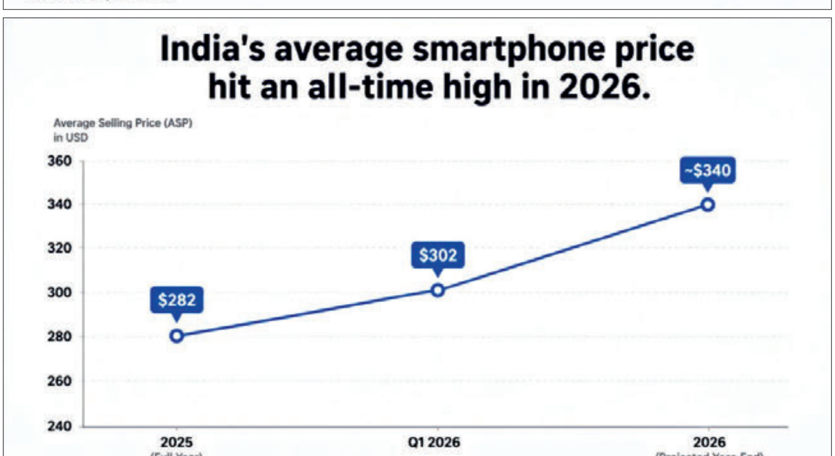
> **Memory has already increased 4x over the past three quarters and is expected to rise further. The market is projected to decline by 13% for the full year.**
>
> **TARUN PATHAK**
> Counterpoint Research

Counterpoint Research data shows memory's share of the BOM in the sub-Rs 15,000 segment has surged from below 20% to as high as over 45% in just a single year, with prices up approximately 4x since September 2025 and expected to reach 5x in the coming months, according to Tarun Pathak, research director at Counterpoint. "If memory prices hadn't moved this sharply, India's average selling prices would not be crossing $300 the way they are," says Upasana Joshi, senior research manager at IDC Asia Pacific. That's quite a price hike!

India's average selling price (ASP) hit a record $302 in Q1 2026, a 10.4% year-on-year increase per IDC. Faisal Kawoosa, founder of research firm Techarc, attributes more than 90% of the overall price increase to memory costs alone, with rupee depreciation and other factors accounting for the remainder. CMR's Amit Sharma, senior analyst at the firm's Industry Intelligence Group, estimates memory at 55–60% of the increase, rupee depreciation at 20–25% and logistics, component inflation and OEM margin protection at the rest.

Sharma notes some tightening in display driver integrated circuits (ICs) and camera modules, though the scale remains limited compared to the memory situation. Brar points to printed circuit boards (PCBs) and supporting chips as additional risk factors, noting that the inability to forecast component availability even 12 months ahead has made product planning nearly impossible across the industry: "It is very difficult to plan new products even for next year, because we have no clue what kind of components we can actually get."





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